deposits with other central banks, official international institutions and overseas branches of commercial banks, driven by objectives of safety, liquidity and returns, in that order. The broad strategy for investment is decided by a high-level committee chaired by the governor and comprising the relevant deputy governor, the secretary of economic affairs and the chief economic adviser from the finance ministry. Within the broad strategy, the operational details are left to the staff of the Reserve Bank.

A frequent question any governor confronts is whether our forex reserves are sufficient. It's also a tricky question because no matter how the governor replies, it is bound to be overinterpreted to draw inferences on the rupee movement, thereby fuelling speculation. If, for example, the governor answers that the reserves are sufficient, the market would infer that the Reserve Bank would not intervene in the forex market for the purpose of buffering the reserves. That would bring the rupee under appreciation pressure. If, on the other hand, the governor says that the reserves are not sufficient, there would be speculation about the ability of the Reserve Bank to defend the exchange rate should it become volatile, thereby pushing the exchange rate down.

Back in the 1980s, the yardstick, in part enshrined by the IMF, used to be that a country should have reserves sufficient to provide at least three months of import cover. But that was when trade flows dominated the balance of payments and determined the exchange rates. Today, global capital flows are several multiples of trade flows, and floating exchange rates are more a function of the capital account in the balance of payments rather than the current account. Any measure of reserve adequacy in today's world has to factor in not only the current account balance, but also, at the minimum, debt with a residual maturity of less than one year.

The economics literature has several models and formulae for estimating reserve sufficiency. The time-tested truth on reserves, though, is that in good times, no amount of reserves is too much, and in bad times, any amount of reserves is too little.

Another FAQ that a governor faces is about why the Reserve Bank is not fully transparent about its reserve holdings. In particular, why doesn't the